

Project Meridian

Hindalco Industries Limited / National Aluminium Company Limited · prepared 2026-07-02

PROCEED WITH CONDITIONS

RBI-compliant and financeable, but: negative value bridge (synergy PV < control premium); accretion is mechanical P/E arbitrage; MPS breach at the assumed open-offer acceptance.

+2.1%

YEAR-1 EPS IMPACT

100%

P(ACCRETIVE BY Y2)

₹-2,645 Cr

NET VALUE CREATED

+12.0%

OFFER PREMIUM

2 · Transaction Summary

Term	Value	Term	Value
Acquirer	Hindalco Industries Limited (HINDALCO.NS)	Offer price	₹372.12
Target	National Aluminium Company Limited (NATIONALUM.NS)	Premium to undisturbed	+12.0%
Negotiated stake	51%	Consideration	100% cash / 0% stock
Equity purchase (negotiated)	₹34,856 Cr	Implied EV / EBITDA	7.5x
Open offer (at 100% acceptance)	₹17,770 Cr	Implied P / E	11.8x

Premium at the 100th percentile of sector precedents (Merger Lab precedent DB; entries marked ILLUSTRATIVE pending filing verification).

3 · Strategic Rationale

- Integrates low-cost bauxite/alumina capacity upstream of acquirer's smelting network
- Illustrative PSU-divestment structure: 51% block + mandatory 26% open offer
- Low-multiple target — earnings yield comfortably above after-tax debt cost under RBI 2026 financing

4 • Regulatory Stack — RBI • SEBI SAST • CCI

4a • Sources & Uses across open-offer acceptance scenarios

₹ Cr	0% acceptance	50% acceptance	100% acceptance
Equity purchase (negotiated)	₹34,856 Cr	₹34,856 Cr	₹34,856 Cr
Open offer consideration	₹0 Cr	₹8,885 Cr	₹17,770 Cr
Refinance target debt	₹0 Cr	₹0 Cr	₹0 Cr
Transaction fees	₹523 Cr	₹656 Cr	₹789 Cr
Total uses	₹35,379 Cr	₹44,397 Cr	₹53,415 Cr
New acquirer stock	₹0 Cr	₹0 Cr	₹0 Cr
New bank debt	₹21,227 Cr	₹26,638 Cr	₹32,049 Cr
Balance-sheet cash	₹14,151 Cr	₹17,759 Cr	₹21,366 Cr
Total sources	₹35,379 Cr	₹44,397 Cr	₹53,415 Cr

4b • RBI acquisition-finance compliance (Amendment Directions 2026, at 100% acceptance)

Check	Value	Threshold	Status	Note
Bank debt $\leq$ 75% of acquisition value	60.9	$\leq$ 75%	PASS	New bank debt Rs 32,049 Cr funds 60.9% of the Rs 52,625 Cr acquisition value.
Acquirer equity contribution $\geq$ 25%	40.0	$\geq$ 25%	PASS	Stock + own cash contribute 40.0% of total funding of Rs 53,415 Cr.
Pro-forma consolidated D/E $\leq$ 3.0x	0.95	$\leq$ 3.0x	PASS	Combined debt Rs 131,274 Cr on pro-forma equity Rs 137,598 Cr = 0.95x.
Acquirer net worth $\geq$ Rs 500 Cr	137598.0	$\geq$ Rs 500 Cr	PASS	Acquirer net worth Rs 137,598 Cr.
3-year profitability track record	True	user-attested	PASS	Attested by user; verify against 3 years of audited financials.

Optimal mix is constrained: binding constraint(s) — Acquirer cash on hand. Year-1 accretion at the constrained optimum is +2.35%. Optimal mix: 100% cash / 0% stock, 57% of cash needs debt-funded → Year-1 +2.4%.

4c • SEBI Takeover Code (SAST 2011)

Acquiring 51% crosses the 25% threshold -> mandatory open offer for 26% of the target at the floor price (modeled at the Rs 372 offer price; real floor is the highest-of tests incl. 60-day VWAP).

- 0% acceptance: buy 0.00 Cr shares for Rs 0 Cr; post-offer holding 51.0%.
- 50% acceptance: buy 23.88 Cr shares for Rs 8,885 Cr; post-offer holding 64.0%.
- 100% acceptance: buy 47.75 Cr shares for Rs 17,770 Cr; post-offer holding 77.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).

Between 25% and 75%, up to 5% per FY may be acquired without triggering a fresh open offer (creeping acquisition route).

4d • CCI merger control

Deal value Rs 34,856 Cr exceeds the Rs 2,000 Cr deal-value threshold (2024 amendment) — CCI approval required; expect ~150-210 days outer timeline, Green Channel possible if no overlaps.

5 • Accretion / Dilution Analysis

Year	Combined NI (₹ Cr)	Pro-forma shares (Cr)	Pro-forma EPS	Standalone EPS	Accretion / (Dilution)
Year 1	₹13,679 Cr	223.62	₹61.17	₹59.88	+2.15%
Year 2	₹13,948 Cr	223.62	₹62.38	₹59.88	+4.16%
Year 3	₹14,038 Cr	223.62	₹62.78	₹59.88	+4.83%

Break-even synergies (Year 1): ₹-289 Cr vs ₹480 Cr assumed run-rate.

Target earnings yield at offer 8.5% vs blended after-tax financing cost 5.6% -> heuristic says ACCRETIVE; engine Year-1 says ACCRETIVE.

Contribution analysis

Metric	Acquirer %	Target %
Revenue	93.9	6.1
EBITDA	81.8	18.2
Net income	69.8	30.2
Pro-forma ownership	100.0	0.0

Target shareholders receive 0% ownership while contributing 30% of combined earnings (-30 pts) — premium justification required.

Sensitivity — Year-1 accretion %

Premium (rows) × run-rate synergies ₹ Cr (columns)

Premium % \ Synergies Cr	0.0	120.0	240.0	360.0	480.0	600.0	720.0	840.0	960.0
2.0	+2.17	+2.50	+2.84	+3.17	+3.51	+3.84	+4.18	+4.51	+4.85
4.5	+1.65	+1.98	+2.32	+2.65	+2.99	+3.32	+3.66	+3.99	+4.33
7.0	+1.12	+1.46	+1.80	+2.13	+2.47	+2.80	+3.14	+3.47	+3.81
9.5	+0.60	+0.94	+1.27	+1.61	+1.94	+2.28	+2.62	+2.95	+3.29
12.0	+0.08	+0.42	+0.75	+1.09	+1.42	+1.76	+2.09	+2.43	+2.76
14.5	-0.44	-0.10	+0.23	+0.57	+0.90	+1.24	+1.57	+1.91	+2.24
17.0	-0.96	-0.62	-0.29	+0.05	+0.38	+0.72	+1.05	+1.39	+1.72
19.5	-1.48	-1.15	-0.81	-0.48	-0.14	+0.20	+0.53	+0.87	+1.20
22.0	-2.00	-1.67	-1.33	-1.00	-0.66	-0.33	+0.01	+0.34	+0.68

% cash consideration (rows) × premium (columns)

% Cash \ Premium %	2.0	4.5	7.0	9.5	12.0	14.5	17.0	19.5	22.0
0	+1.62	+1.12	+0.63	+0.15	-0.34	-0.81	-1.29	-1.77	-2.24
10	+1.78	+1.29	+0.79	+0.30	-0.18	-0.67	-1.15	-1.63	-2.10
20	+1.95	+1.45	+0.96	+0.47	-0.02	-0.51	-1.00	-1.48	-1.96
30	+2.13	+1.63	+1.13	+0.63	+0.14	-0.35	-0.84	-1.33	-1.82
40	+2.31	+1.81	+1.30	+0.80	+0.31	-0.19	-0.69	-1.18	-1.67
50	+2.50	+1.99	+1.48	+0.98	+0.48	-0.02	-0.52	-1.02	-1.51
60	+2.69	+2.18	+1.67	+1.16	+0.65	+0.15	-0.35	-0.85	-1.35
70	+2.88	+2.37	+1.86	+1.35	+0.84	+0.33	-0.18	-0.68	-1.19

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90	+3.29	+2.78	+2.26	+1.74	+1.22	+0.70	+0.19	-0.33	-0.84
100	+3.51	+2.99	+2.47	+1.94	+1.42	+0.90	+0.38	-0.14	-0.66

5.5 · Value Creation Assessment

Bridge component	₹ Cr
PV of after-tax synergies (perpetuity at 12.0% WACC)	₹2,993 Cr
Control premium paid	(₹5,638 Cr)
Net value created / (destroyed)	₹-2,645 Cr

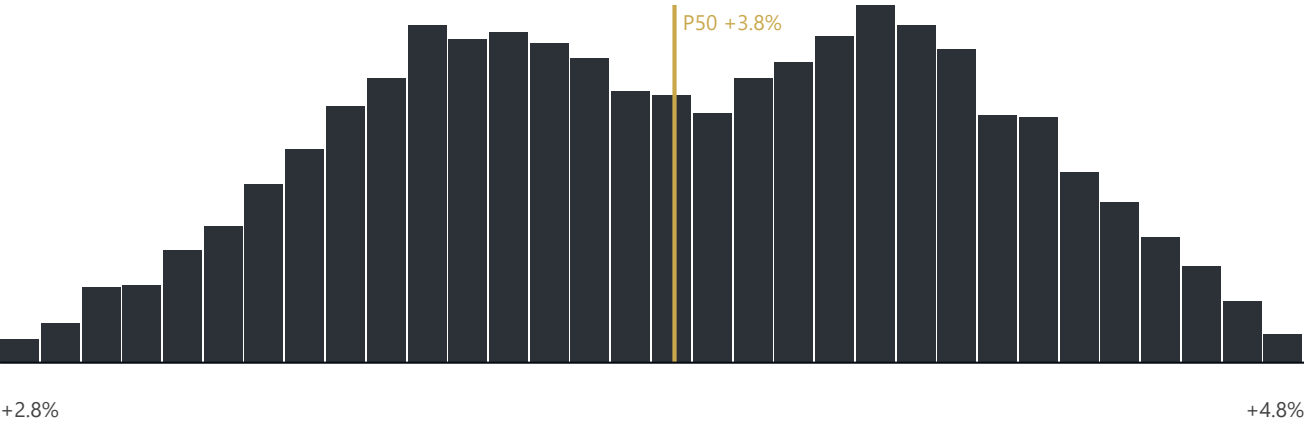
Incremental ROIC 9.0% vs WACC 12.0% — **returns below the cost of capital.**

Accretive but value-destructive — EPS accretion is driven by P/E arbitrage, not economics.

6 · Risk Analysis

Probability of accretion by Year 2: 100% (P5: +3.2%, P95: +4.5%). Year-1: P5 +0.5% · P50 +1.9% · P95 +2.6%.

Year-2 accretion distribution (10,000 iterations)



Key risks

- Aluminium price cycle turns before synergy phase-in completes
- PSU workforce integration and government-approval timeline
- MPS sell-down obligation at high open-offer acceptance

7 • Appendix — Methodology & Sources

- Engine: Year 1–3 pro-forma EPS vs standalone acquirer EPS held flat; combined NI = acquirer NI + owned% × target NI + after-tax phased synergies – after-tax new interest – after-tax foregone cash yield – after-tax incremental D&A – after-tax Year-1 integration costs.
- PPA: intangible write-up on excess over owned book value, DTL at deal tax rate, straight-line amortization; PP&E step-up out of scope.
- RBI: Commercial Banks – Credit Facilities (Amendment) Directions 2026 — 75% funding cap, 25% equity floor, 3:1 consolidated D/E, ₹500 Cr net worth, 3-yr profitability (user-attested). Verify against the master direction.
- SEBI SAST 2011: 25% open-offer trigger, minimum 26% offer size; floor modeled at deal offer price (real floor = highest-of tests incl. 60-day VWAP). MPS per SCRR 19A.
- Monte Carlo: 10,000 seeded iterations; synergies triangular (50/100/130% of base), integration costs lognormal, phase-in delay discrete.
- Value bridge: after-tax synergy perpetuity at user WACC (0% growth) less control premium on shares acquired.
- Data: yfinance (prices, financials), Screener.in exports (fundamentals fallback), curated precedent DB from SEBI SAST letters of offer and NSE/BSE filings. Debt cost anchored to RBI DBIE lending-rate publications; risk-free = 10Y G-Sec (CCIL/FIMMDA). No paid APIs, no scraping, no LLM calls.
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